IT Department Budget Guidelines: Supplement

IT Budget Transfer Essentials

November 2026 Kickoff

About This Document

Explains the approach and handling of frequently asked topics on the budget transfer, clearly and without misunderstanding

Purpose	This document illustrates the approach and handling of topics often raised about the budget transfer. It adds the background that individual answers cannot easily convey, so that everyone understands it correctly.
Relation to Q&A list	Individual questions and answers are kept in the Q&A list. This document sets out the thinking behind them. Please refer to both as needed.
How to use	GDS transfer leads can use it when talking with their business counterparts, so both sides look at the same picture and align. It can also help you check your own understanding.
Updates	We will add to and update this document as questions come in. Please see the revision history for changes.

Revision History

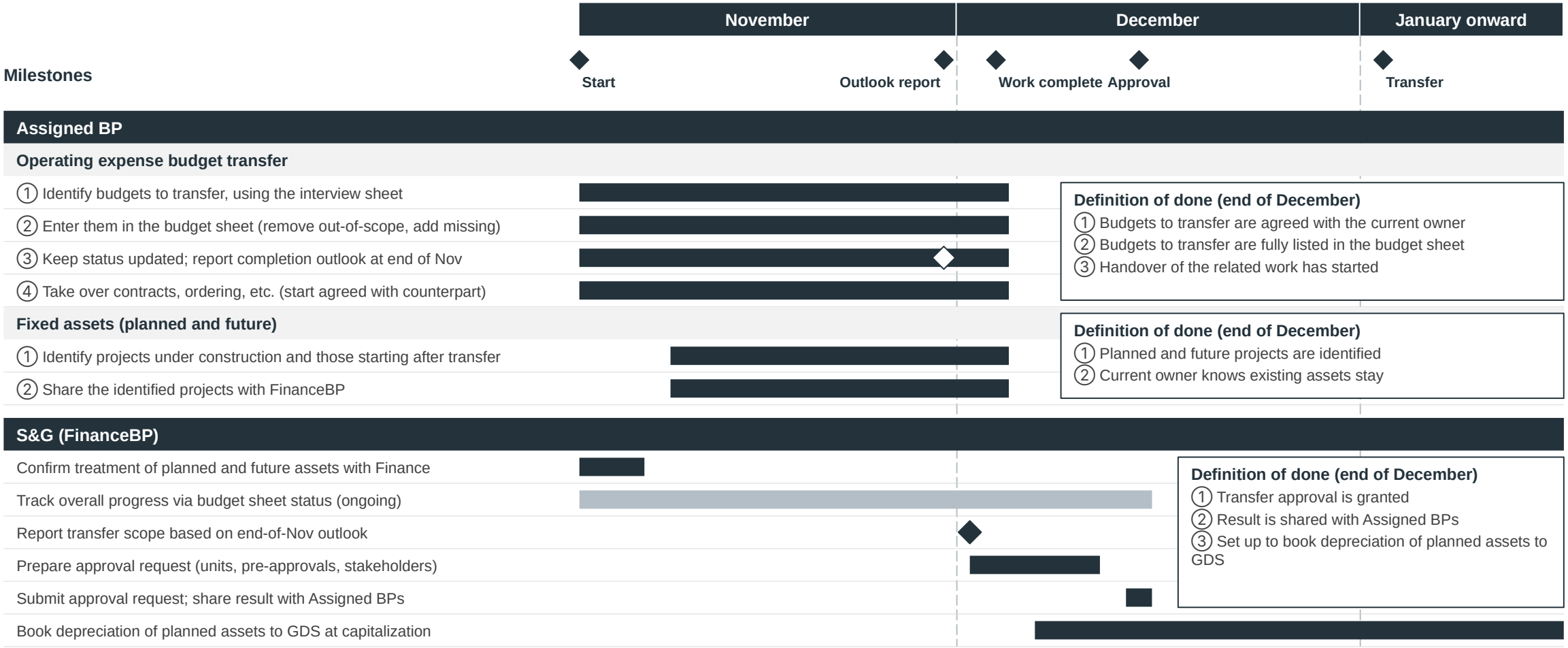
Date	Changes
2026/11/02	First edition published

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p.6	Roles after Transfer: Who Decides What	What Functions decide and what GDS leads in IT
p.7	Role Split Playbook: Four Moments GDS Leads	Intake, solution selection, disagreements, acceptance: questions and hypotheses
p.8	Fixed Assets: GDS Holds New Acquisitions	Existing assets stay; treatment of planned and future assets

November–December Schedule (Indicative)

Orders needed this year can proceed where possible, without waiting for the transfer
Contract name changes can be made at a suitable time; they need not coincide with the transfer

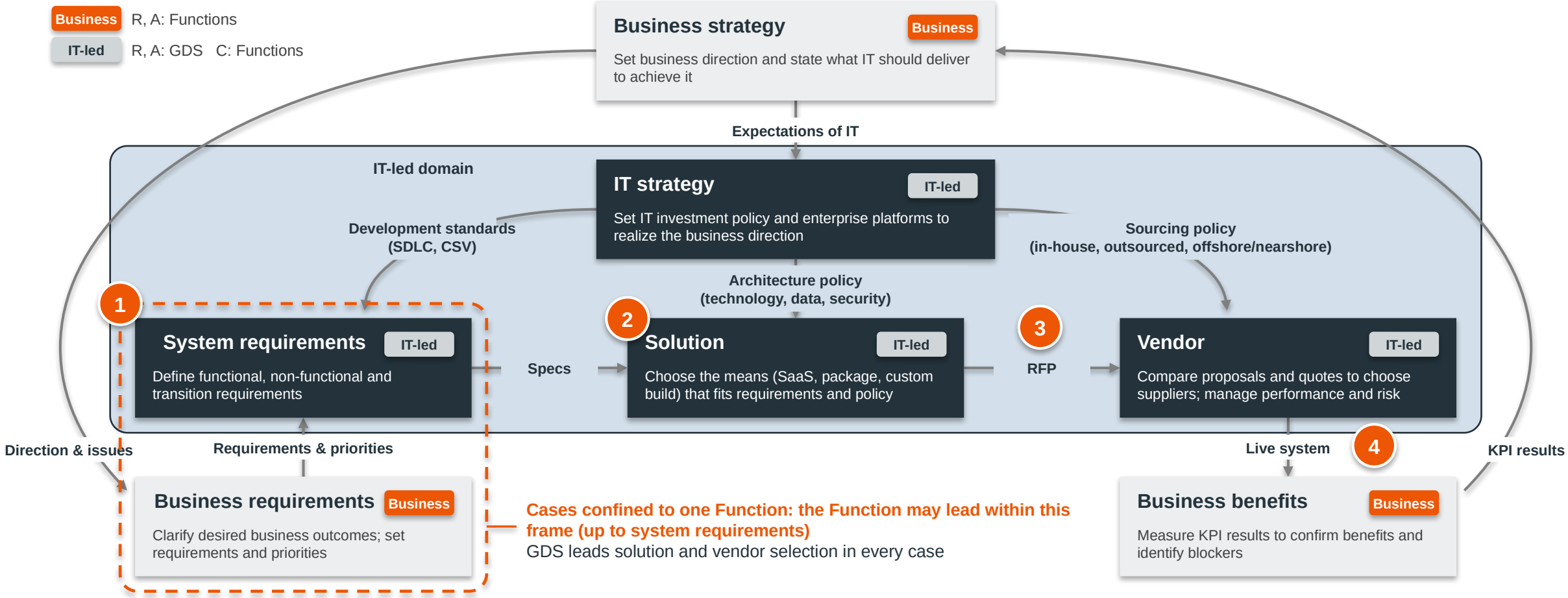


GDS is responsible for the indirect work tied to transferred budgets (budget, contracts, ordering and payment)

Roles after Transfer: Who Decides What

Functions decide what to achieve and why; GDS leads on how to achieve it

GDS and Functions work together in IT, with GDS balancing company-wide standards and local needs



①–④ are where issues tend to arise. Hold the questions and hypotheses up front, and prepare what can be prepared (next page)

Role Split Playbook: Four Moments GDS Leads

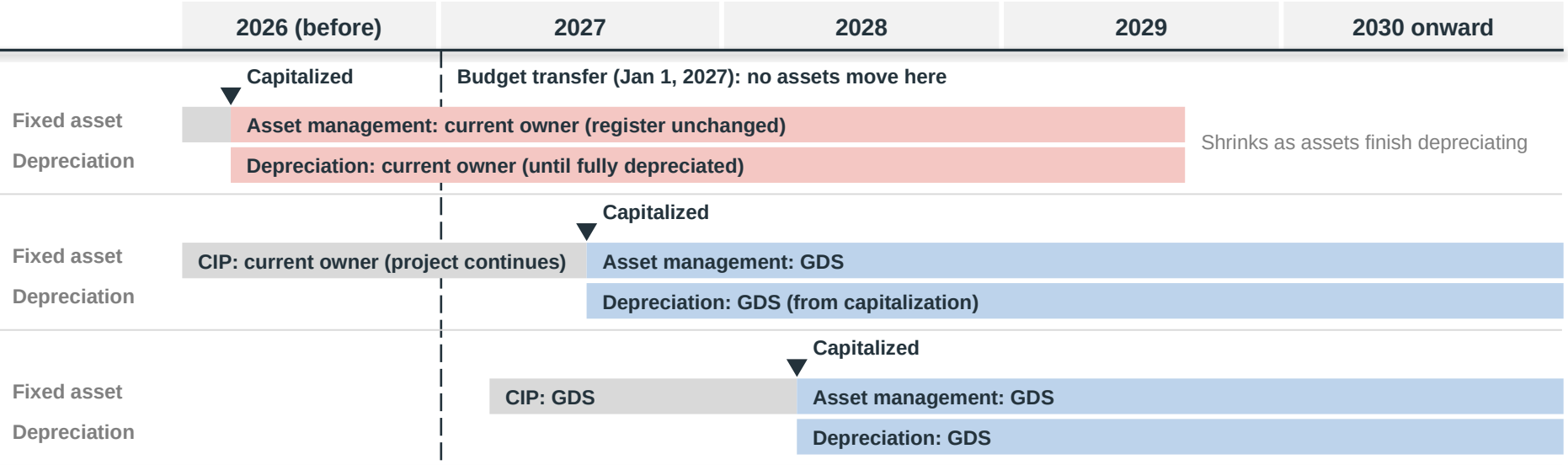
Holding the budget, GDS is accountable for the means it chooses and their results
Most stumbles come from agreeing with the Function too late. Agree first, and bring in GDS capabilities early

Use case The concrete situation that tests the role split	**Issue (question to settle)** An open question whose answer changes what we do	**Hypothesis (Playbook)** Our current answer and how to apply it; tested and updated in use	**Capabilities to apply** GDS capabilities combined to answer and act (capability map L2)
① Intake A Function arrives with the means already chosen: “we want this product”	**Can this case be treated as Function-confined?** If left open: “only our department uses it” lets it proceed; data links, sign-on or security review surface later and force rework	• **If it has data links to other systems, users beyond the Function, or GxP or personal data, it is not Function-confined** • Step back from the product to what the Function wants to achieve • GDS makes this call at intake	Enterprise architecture IT portfolio & demand management Security governance GxP system management (CSV) Personal information & data protection
② Solution selection GDS chooses the means	**What makes a selection “good”?** If left open: selection becomes a feature comparison, and weak benefits become “because GDS chose it”	• **A good selection meets the Function’s benefit target at the lowest cost and risk** • Before selection, have the Function write the target (KPI and value) into business requirements. No target, no selection • GDS answers for cost, schedule, quality and the reason for its choice	Enterprise architecture IT sourcing & vendor management IT financial management IT portfolio & demand management
③ When views differ The Function’s preferred product or vendor differs from GDS’s assessment	**On what basis is one option chosen?** If left open: GDS is seen as blocking, or gives in and non-standard products multiply	• **Decide by comparing fit to requirements, TCO, and operations and security load** • Object only with an alternative and a comparison. If the Function’s choice is taken, agree extra cost and operating roles in writing • No resolution by the deadline: set out the options and decide under the new governance model (Tier)	IT governance & risk management Enterprise architecture IT sourcing & vendor management IT financial management
④ Acceptance The system is built and go-live is decided	**Who decides “done”, and against what?** If left open: “not what we expected” leads to extra development and cost	• **The Function decides, against acceptance criteria agreed before the RFP** • Derive acceptance criteria from business requirements • Requests outside the criteria are changes: show the cost and schedule impact and let the Function decide	Project management Test & release GxP system management (CSV) Change & configuration management Service catalog & service levels

Fixed Assets: GDS Holds Those Acquired from Now On

Existing fixed assets and long-term prepaid expenses stay. Capex budgets are not part of the transfer
Nothing moves at the transfer date. As new projects are managed by GDS, ownership shifts to GDS year by year

Basic principles



Issue

Upgrades to existing assets

Upgrades to existing assets after transfer

Recommendation

Premise: for tax purposes, capex on an upgrade is in principle treated as newly acquiring an asset of the same type and useful life as the existing one

- The upgrade is held by GDS, as in ③
- The base asset stays with the current owner, per the principle

Why

- An upgrade is a new investment; leaving it with the owner would let “upgrades” bypass the new governance
- The upgrade is recorded as a separate asset, so making it GDS’s leaves the base record untouched

Watch points

- Retirement and impairment span two owners: GDS leads under the new governance model and agrees with the owner
- For near-rebuilds with a large base book value, or assets combined under declining-balance rules, decide case by case with Finance

Existing assets stay as they are. GDS manages IT investments from now on, including upgrades